Dixon Technologies (India) - Annual Report FY26

Integrated Annual Report for the financial year ended 31 March 2026.

Business Overview

Dixon Technologies (India) operates in electronics manufacturing services (EMS). The Company's businesses comprise mobile phones and EMS, consumer electronics (LED TVs), home appliances (washing machines), lighting, and security systems.

Revenue mix for FY26 by segment: mobile and EMS 72%, consumer electronics 16%, home appliances 7%, lighting and others 5%.

Our strategy is to grow market share through new customers and formats, deepen backward integration, and keep the balance sheet conservative.

Management Discussion and Analysis

Financial performance: Consolidated revenue from operations for FY26 was Rs. 53,630 crore compared with Rs. 38,861 crore in FY25, growth of 38.0%. EBITDA was Rs. 2,139 crore, an EBITDA margin of 4.0%. Profit after tax was Rs. 1,296 crore.

Borrowings at the end of FY26 stood at Rs. 1,193 crore and net worth at Rs. 11,362 crore.

Cash flow from operating activities was Rs. 1,662 crore during the year.

Outlook

The Company remains optimistic about demand in the coming year, supported by new customers and capacity additions. Management will continue to focus on execution, cost discipline and working capital.

Risks and Concerns

Key risks include customer concentration, volatility in input and commodity prices, changes in government incentive schemes, competition, foreign exchange movements and execution risk on new capacity.

Key Financial Ratios

Debtor days 36 38 Inventory days 22 24 ROE % 11.4 12.4 ROCE % 15.1 15.7 Debt equity 0.10 0.15

Notes to the Consolidated Financial Statements

Contingent liabilities: Claims against the Company not acknowledged as debts amount to Rs. 589.9 crore, primarily indirect tax and income tax matters under appeal. Corporate guarantees given on behalf of subsidiaries are disclosed separately. Management believes the outcome will not have a material adverse effect.

Related party transactions: Transactions with related parties during the year aggregated Rs. 214.5 crore, principally purchase of goods and services from joint ventures and associates, conducted at arm's length and in the ordinary course of business. All material related party transactions were approved by the Audit Committee.

Independent Auditor's Report

Opinion: In our opinion and to the best of our information and according to the explanations given to us, the consolidated financial statements give a true and fair view in conformity with Indian Accounting Standards. We have issued an unmodified opinion.

Key audit matters: revenue recognition and inventory valuation.

Report on Corporate Governance

Shareholding of promoters: As on 31 March 2026, no shares held by the promoter and promoter group were pledged or otherwise encumbered (pledged shares: Nil).